
CH -5 Knowledge Management



- *Are you and your company actively managing knowledge? (Photo credit: Microsoft Free Clip Art)*

- *In an economy where the only certainty is uncertainty, the one sure source of lasting competitive advantage is knowledge. I. Nonaka (1995)*

- Although knowledge is increasingly being viewed as a commodity or an intellectual asset, it possesses some paradoxical characteristics that are radically different from those of other valuable commodities.
- These knowledge characteristics include the following:
 - Use of knowledge does not consume it.
 - Transferrable of knowledge does not result in losing it.
 - Knowledge is abundant, but the ability to use it is scarce.
 - Much of an organization's valuable knowledge walks out the door at the end of the day.

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- Knowledge Management, (KM) is a concept and a term that arose approximately two decades ago, roughly in 1990.
 - Very early on in the KM movement, Davenport (1994) offered the still widely quoted definition:
 - *"Knowledge management is the process of capturing, distributing, and effectively using knowledge."*

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- Gartner Group created another second definition of KM, which is perhaps the most frequently cited one (Duhon, 1998):
 - *"Knowledge management is a discipline that promotes an integrated approach to identifying, capturing, evaluating, retrieving, and sharing all of an enterprise's information assets.*
 - *These assets may include databases, documents, policies, procedures, and previously un-captured expertise and experience in individual workers."*
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- **Knowledge management (KM)** is the process of creating, sharing, using and managing the knowledge and information of an organization.
 - It refers to a multi-disciplinary approach to achieving organizational objectives by making the best use of knowledge.
 - **Knowledge management** refers to the set of business processes developed in an organization to create, store, transfer, and apply knowledge.

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- Knowledge management **increases the ability of the organization to learn from its environment and to incorporate knowledge into its business processes.**
 - **Knowledge management** efforts typically focus on organizational objectives such as
 - improved performance,
 - competitive advantage,
 - innovation,
 - the sharing of lessons learned,
 - integration, and
 - continuous improvement of the organization.

Types of Knowledge

1. Tacit knowledge
2. Explicit knowledge

Let us discuss one by one:

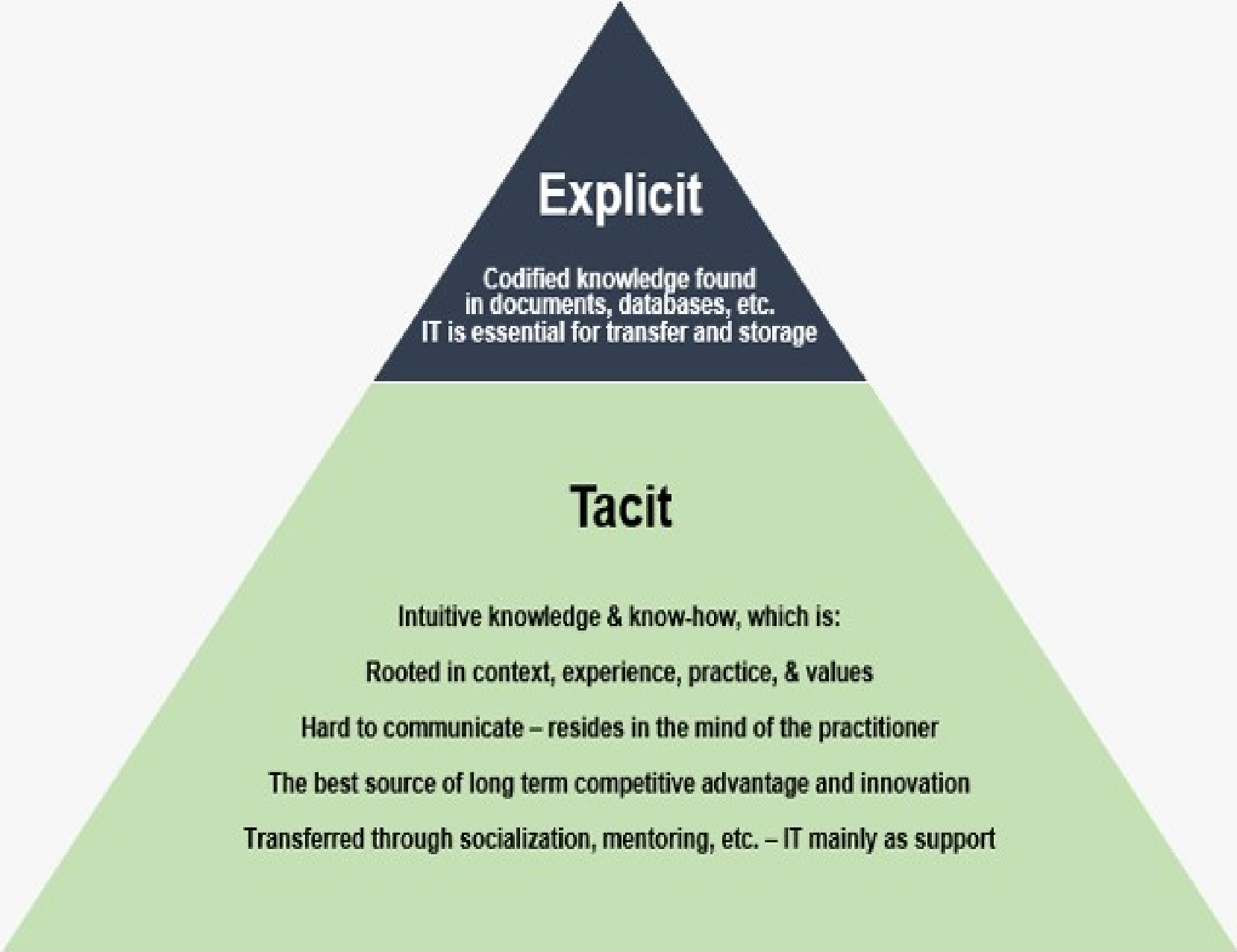
1. Tacit Knowledge

- Knowledge residing in the minds of employees that has not been documented is called **tacit knowledge**.
- **Tacit knowledge** (knowing-how): knowledge embedded in the human mind through experience and jobs. Know-how and learning embedded within the minds of people.

2. Explicit Knowledge

- Knowledge that has been documented is called **explicit knowledge**.
- It is knowledge codified and digitized in books, documents, reports, memos, etc.
- Documented information that can facilitate action.
- Knowledge what is easily identified, articulated, shared and employed.
- Knowledge can reside in e-mail, voice mail, graphics, and unstructured documents as well as structured documents.

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- Knowledge is generally believed to have a location, either in the minds of humans or in specific business processes.



Explicit

**Codified knowledge found
in documents, databases, etc.
IT is essential for transfer and storage**

Tacit

Intuitive knowledge & know-how, which is:

Rooted in context, experience, practice, & values

Hard to communicate – resides in the mind of the practitioner

The best source of long term competitive advantage and innovation

Transferred through socialization, mentoring, etc. – IT mainly as support

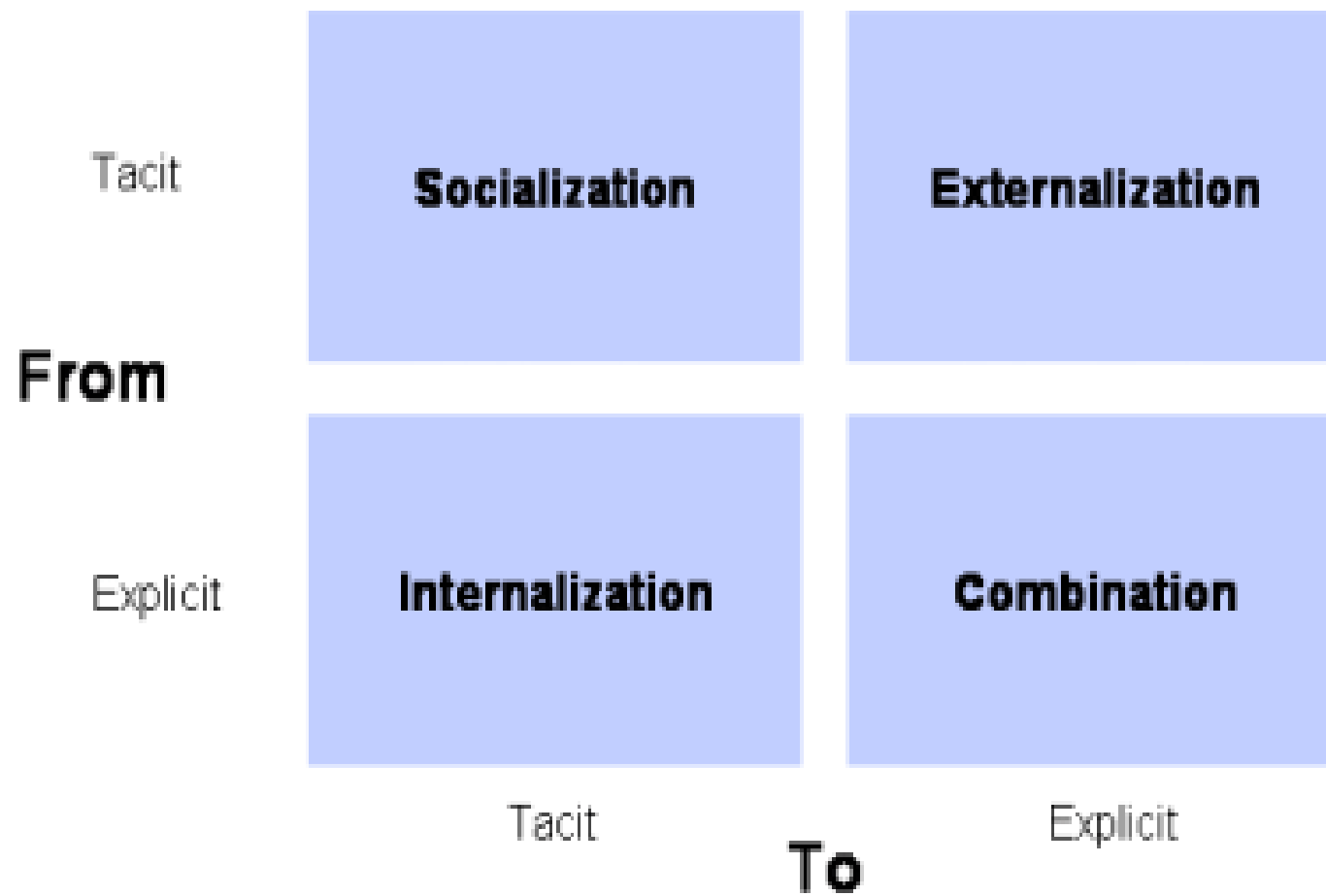
The Knowledge Creation Process

- Knowledge creation consists of a social process between individuals in which knowledge transformation is not simply a unidirectional process but it is interactive and spiral.
- According to Nonaka and Takeuchi, there are four modes of knowledge conversion that constitute the “engine” of the entire knowledge-creation process.

Knowledge Conversion

There are four modes of knowledge conversion:

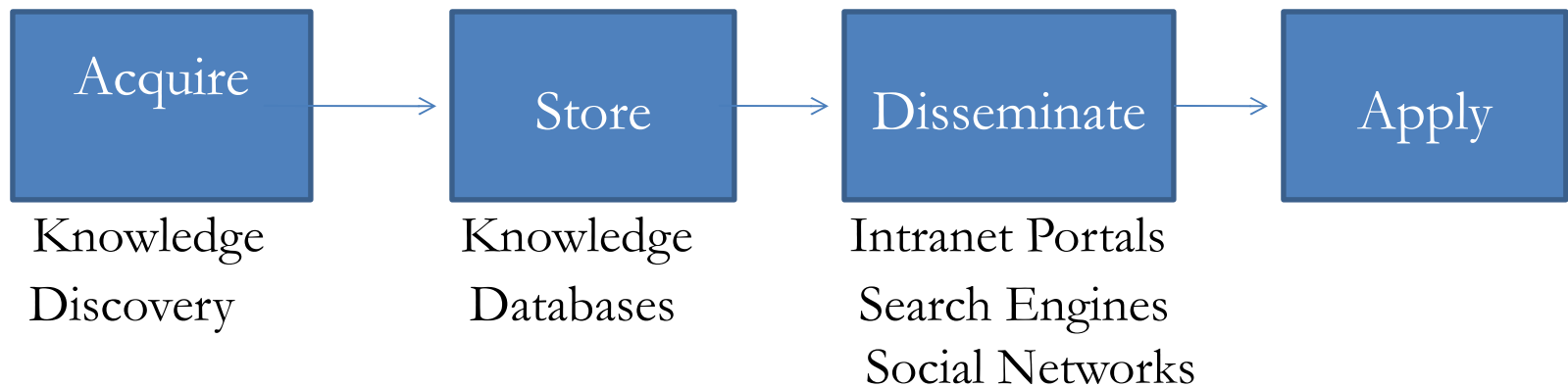
1. From tacit knowledge to tacit knowledge: the process of *socialization*.
2. From tacit knowledge to explicit knowledge: the process of *externalization*.
3. From explicit knowledge to explicit knowledge: the process of *combination*.
4. From explicit knowledge to tacit knowledge: the process of *internalization*.



- *Tacit-to-tacit (socialization)* - individuals acquire knowledge from others through dialogue and observation
- *Tacit-to-explicit (externalization)* - the articulation of knowledge into tangible form through elicitation and documentation
- *Explicit-to-explicit (combination)* - combining different forms of explicit knowledge, such as that in documents or databases
- *Explicit-to-tacit (internalization)* - such as learning by doing, where individuals internalize knowledge into their own mental models from documents.

Knowledge management Systems

- Knowledge management system consists of acquisition, storing, disseminating and applying knowledge.



1. Knowledge Acquisition

- Organizations acquire knowledge in a number of ways, depending on the type of knowledge they seek.

It includes:

- Corporate repositories of documents, reports, presentations, and best practices.
- Unstructured documents (such as e-mail).
- Organizations can also create new knowledge by discovering patterns in corporate data or by using knowledge workstations where engineers can discover new knowledge.

2. Knowledge Storage

- Once they are discovered, documents, patterns, and expert rules must be stored so they can be retrieved and used by employees.
- Knowledge storage generally involves the creation of a database.

3. Knowledge Dissemination

- Portals, e-mail, instant messaging, social networks, social business tools, and search engines technology have added to an existing array of collaboration tools for sharing calendars, documents, data, and graphics.

4. Knowledge Application

- Regardless of what type of knowledge management system is involved, knowledge that is not shared and applied to the practical problems facing firms and managers does not add business value.
- To provide a return on investment, organizational knowledge must become a systematic part of management decision making and become situated in systems for decision support.

The importance of Knowledge Management

Why knowledge management is important to the success of a company?

Three key reasons why actively managing knowledge is important to a company's success are:

1. Facilitates Decision-Making Capabilities
2. Builds Learning Organizations by Making Learning Routine
3. Stimulates Cultural Change and Innovation

1. Facilitates Decision-Making Capabilities

- Data can offer managers a wealth of information but processing overwhelming amounts can get in the way of achieving high-quality decisions.
- While information overload or needing knowledge from people in other parts of the company for decision-making can handicap managers, putting in place knowledge management systems can facilitate better, more informed decisions.

2. Builds Learning Organizations by Making Learning Routine

- *A **learning organization*** is an organization that encourages and facilitates learning in order to continually transform itself to survive and excel in a rapidly changing business environment.
- Author David [Garvin](#) (2000) notes that “To move ahead, one must often first look behind”.
- Learning organizations created a culture where **everyone continuously assesses themselves, their units, and their organization**, looking for ways to improve.
- This approach to capturing learning from experience builds knowledge that can then be used to streamline operations and improve processes.

3. Stimulates Cultural Change and Innovation

- Actively managing organizational knowledge can also stimulate cultural change and innovation by encouraging the free flow of ideas.
- In this complex, global business environment, knowledge management programs can help managers embrace change and encourage ideas and insight, which often lead to innovation.

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